3.4.5 Suppliers and supply chains

Unit 3.4 Operational management · 6 key points

- **Choosing suppliers:** price, quality, reliability, flexibility, payment terms, ethics
- **Supply chain:** the stages from raw materials to the final customer
- **Managing the supply chain:** coordinating suppliers so the right goods arrive at the right time
- **Value of outsourcing:** specialist skills, lower costs, focus on core activities
- **Risks of outsourcing:** less control, quality, dependence on the supplier
- **Dependable supplier:** right quantity and quality, on time, every time